T-12 OPERATING STATEMENT

Alder Office Park | Madison, WI

Property	Alder Office Park
Period Ending	October 28, 2021
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	57,000 SF

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	138,074	121,829	137,666	130,552	127,331	131,782	132,247	125,168	138,419	123,324	134,516	129,882	1,570,789
4010 Loss to Lease	110,481	113,585	107,398	110,453	116,062	116,915	113,999	106,904	107,423	106,167	115,970	103,182	1,328,540
4020 Vacancy Loss	20,570	19,444	20,152	21,539	21,829	21,496	19,981	19,852	21,945	20,187	21,401	19,585	247,983
4030 Concessions	45,977	44,713	41,997	45,561	45,768	41,327	43,390	43,614	43,565	40,211	43,361	42,225	521,710
4040 Bad Debt	93,569	96,856	90,321	91,083	99,368	94,684	91,438	97,194	98,433	94,156	99,080	99,961	1,146,143
4050 Late Fees	25,090	26,022	24,671	26,252	28,199	24,756	28,052	28,224	26,088	27,467	27,212	24,818	316,851
4060 Utility Reimbursements	76,359	80,992	77,649	83,350	83,103	77,868	78,866	81,740	78,503	76,669	83,457	87,064	965,621
4070 Parking Income	80,680	84,013	79,033	79,566	76,588	85,908	79,630	77,062	82,771	86,906	81,659	84,951	978,768
4080 Application Fees	87,471	87,423	83,300	86,905	82,727	78,783	84,731	87,363	83,728	86,854	86,454	88,245	1,023,984
4090 Pet Rent	39,541	38,899	38,927	39,676	38,523	40,455	42,526	40,266	43,485	39,433	42,662	42,240	486,632
4100 Laundry Income	93,484	97,814	103,240	97,813	100,960	93,521	94,801	97,027	91,033	91,039	92,215	101,959	1,154,907
4110 Cable/Internet Revenue	72,211	68,038	70,200	65,193	71,126	66,486	67,338	72,186	67,155	65,376	63,946	63,960	813,213
4120 CAM Reimbursements	55,098	51,418	52,540	49,980	51,799	52,580	50,134	49,611	49,036	49,322	49,564	50,476	611,558
4130 Tax Reimbursements	105,082	101,016	107,062	111,303	111,965	110,391	108,154	113,822	107,495	100,747	113,561	107,324	1,297,923
4140 Insurance Reimbursements	98,708	95,329	103,367	102,351	102,492	102,394	95,801	109,425	109,144	105,993	103,072	108,736	1,236,812
4150 Percentage Rent	92,264	83,325	87,029	95,120	86,207	89,806	92,541	92,322	89,302	88,979	92,628	89,382	1,078,904
4160 Misc. Income	97,091	98,671	99,784	101,164	99,923	97,426	101,608	93,697	94,589	93,203	101,828	92,373	1,171,356
4170 Payroll - Management	1,677	1,635	1,739	1,615	1,561	1,781	1,749	1,766	1,671	1,579	1,750	1,648	20,170
4180 Payroll - Leasing	2,194	2,218	2,189	2,005	1,957	2,098	2,054	2,086	2,079	1,987	2,190	1,953	25,010
4190 Payroll - Maintenance	4,609	4,545	4,512	4,155	4,423	4,104	4,511	4,452	4,257	4,395	4,119	4,194	52,279
4200 Payroll Taxes & Benefits	1,921	1,893	1,925	2,146	1,888	1,968	1,981	2,119	1,983	2,114	1,933	1,965	23,837
4210 Repairs - Plumbing	9,281	9,803	9,359	9,627	9,145	9,151	9,296	9,176	9,669	9,646	9,319	9,483	112,955
4220 Repairs - HVAC	13,521	13,567	13,702	13,494	13,845	12,485	12,653	12,411	13,993	13,962	13,706	12,337	159,677
4230 Repairs - Electrical	12,785	13,309	12,626	13,140	13,840	13,708	13,239	12,548	13,495	13,823	13,928	12,845	159,284
4240 Repairs - Appliances	2,170	2,124	2,205	2,336	2,289	2,136	2,353	2,248	2,155	2,340	2,259	2,245	26,859
4250 Painting & Decorating	8,262	8,069	8,099	8,922	8,186	8,741	8,082	8,850	8,763	9,031	9,021	8,815	102,841

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4470 Property Insurance	12,358	12,168	11,766	11,822	12,893	11,963	11,842	12,022	12,256	13,123	11,671	12,075	145,961
4480 Real Estate Taxes	5,566	6,092	6,244	5,610	6,001	5,911	5,579	6,277	6,057	5,983	6,244	5,698	71,263
4490 Asset Management Fee	15,520	14,217	14,786	15,331	15,847	14,182	15,483	15,128	15,581	15,734	14,186	14,918	180,914
4500 Replacement Reserves	9,501	9,062	9,440	9,356	9,546	8,985	8,721	9,031	8,886	8,843	8,680	8,666	108,717
4510 Roof Repairs	12,040	12,796	13,007	11,776	12,271	13,238	11,730	13,070	13,351	12,248	12,847	13,092	151,466
4520 Parking Lot Repairs	9,563	9,845	9,892	10,146	10,329	9,748	10,701	9,869	10,783	10,805	10,489	9,600	121,769
4530 Signage	6,126	6,615	6,840	6,716	6,464	6,580	6,169	6,353	6,277	6,519	6,463	6,613	77,734
4540 Tenant Improvements	13,207	13,817	13,719	14,828	14,961	14,615	14,832	13,252	14,290	13,513	14,454	14,462	169,951
4550 Leasing Commissions	9,278	9,605	8,956	9,106	8,711	9,051	8,847	9,439	9,324	9,217	8,918	9,769	110,223
4000 Gross Potential Rent	133,071	138,522	126,451	136,214	131,429	129,917	131,782	122,794	133,965	129,246	124,764	137,216	1,575,371
4010 Loss to Lease	5,859	6,004	6,198	5,615	6,166	5,633	5,494	6,066	6,211	5,518	5,983	6,229	70,977
4020 Vacancy Loss	83,786	76,265	80,732	76,499	77,816	78,319	77,623	78,718	83,791	79,899	75,971	76,488	945,908
4030 Concessions	61,288	60,779	61,005	61,567	66,705	63,413	64,218	64,627	61,242	63,331	61,986	62,829	752,989
4040 Bad Debt	11,139	10,511	10,171	10,376	10,125	11,450	11,455	11,453	11,482	11,188	10,853	10,534	130,738
4050 Late Fees	3,457	3,300	3,498	3,422	3,758	3,548	3,711	3,618	3,541	3,618	3,741	3,645	42,857
4060 Utility Reimbursements	24,393	25,187	22,761	24,988	23,233	25,128	23,596	24,916	22,606	23,618	23,122	25,324	288,874
4070 Parking Income	102,999	97,549	98,696	93,759	100,081	101,224	98,134	94,559	96,576	101,566	94,729	98,654	1,178,525
4080 Application Fees	71,212	74,252	70,624	67,204	65,981	74,752	67,682	72,132	65,522	74,930	71,350	71,965	847,607
4090 Pet Rent	79,772	72,801	79,167	79,284	74,694	71,786	75,686	81,640	72,800	79,959	72,776	73,533	913,898
4100 Laundry Income	102,843	93,263	95,132	98,622	95,443	100,815	95,645	101,030	92,960	102,343	102,046	92,656	1,172,798
4110 Cable/Internet Revenue	72,442	73,189	73,926	78,934	78,444	78,399	77,887	78,275	71,055	78,903	75,009	76,525	912,990
4120 CAM Reimbursements	104,676	104,973	100,763	101,045	104,698	104,780	103,277	106,959	100,349	99,934	107,136	103,452	1,242,042
4130 Tax Reimbursements	48,651	49,024	52,110	50,486	54,175	54,824	53,090	53,544	54,476	50,628	51,226	51,608	623,843
4140 Insurance Reimbursements	113,904	112,838	106,146	105,753	110,367	114,241	103,672	114,424	108,001	107,473	102,528	112,172	1,311,519
4150 Percentage Rent	102,499	111,309	103,654	105,499	105,317	104,651	111,795	105,832	112,594	113,454	109,022	104,457	1,290,082
4160 Misc. Income	33,070	31,828	30,514	29,892	30,911	32,898	33,382	29,583	30,413	32,977	29,232	30,334	375,035
4170 Payroll - Management	16,485	14,680	16,483	14,522	16,254	16,216	14,931	15,573	15,091	16,069	15,072	15,525	186,901
4180 Payroll - Leasing	15,091	13,647	13,898	15,055	15,134	14,928	15,249	15,102	14,480	13,411	13,983	14,592	174,569
4190 Payroll - Maintenance	3,460	3,581	3,728	3,698	3,834	3,440	3,368	3,651	3,383	3,650	3,525	3,780	43,097
4200 Payroll Taxes & Benefits	14,284	14,066	13,476	13,304	15,112	15,045	14,043	13,684	15,004	13,338	13,871	14,755	169,981
4210 Repairs - Plumbing	16,105	15,314	16,039	15,547	15,725	16,187	16,580	15,697	15,307	15,447	15,256	16,366	189,569
4220 Repairs - HVAC	8,857	9,423	8,840	8,710	8,870	8,905	8,444	8,356	8,744	9,187	9,211	8,786	106,333
4230 Repairs - Electrical	3,913	3,760	3,987	3,602	4,105	4,048	3,729	4,048	3,911	3,922	3,759	3,932	46,716
4240 Repairs - Appliances	10,999	10,317	9,981	9,783	10,201	10,222	10,492	10,555	10,323	10,642	10,749	9,786	124,050
4250 Painting & Decorating	2,639	2,801	2,805	2,599	2,785	2,881	2,807	2,563	2,574	2,902	2,711	2,569	32,637
4260 Flooring	4,949	5,136	5,099	5,323	4,923	4,896	4,866	5,355	5,017	4,785	4,930	4,974	60,253
4270 Make-Ready / Turnover	6,393	7,007	7,193	6,980	7,001	6,757	6,412	6,881	6,952	7,045	6,539	6,408	81,567
4280 Landscaping Contract	15,422	14,343	15,962	15,399	14,284	14,148	15,122	15,147	14,838	16,077	15,361	14,756	180,858
4290 Snow Removal	10,635	10,978	10,510	10,242	10,216	11,259	11,216	10,292	10,340	10,606	11,256	11,337	128,886
4300 Janitorial	3,324	3,191	3,226	3,594	3,596	3,595	3,381	3,237	3,558	3,388	3,273	3,312	40,675
4310 Pest Control	1,769	1,777	1,862	1,837	1,693	1,833	1,899	1,764	1,896	1,872	1,862	1,783	21,848
4320 Trash Removal	6,143	6,429	6,674	6,707	6,652	6,887	6,820	6,782	6,660	6,380	6,252	6,369	78,753
4330 Elevator Contract	14,803	14,014	13,936	13,656	14,450	15,494	14,622	15,159	13,506	14,833	15,214	14,816	174,502
4340 Fire & Life Safety	9,782	9,476	10,398	10,305	9,768	9,827	10,336	9,725	9,351	9,549	10,039	10,660	119,216
4350 Security	1,443	1,308	1,394	1,407	1,390	1,276	1,357	1,413	1,355	1,296	1,299	1,284	16,222
4360 Electricity - Common	9,957	10,490	9,977	9,225	9,163	9,216	9,913	10,279	10,050	9,866	9,631	9,741	117,509
4370 Gas - Common	10,296	11,148	10,863	10,189	10,661	10,640	10,293	11,400	10,521	10,401	10,253	11,322	127,987

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 6.62% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Operating expenses totaled $216,000 or approximately 6.77 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross.

The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center. Operating expenses totaled $95,000 or approximately 47.79 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period. The going-in capitalization rate of 7.74% reflects the in-place income and the stabilized occupancy assumption.

Leasing and Marketing

Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Collections for the period were 91.9% of billed charges, with bad debt of 7.4% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 24 hours.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 95.3% of billed charges, with bad debt of 5.6% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts. Service requests are tracked through a work-order system with an average completion time of 32 hours.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $287,000 or approximately 43.26 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 2 per 1,000 square feet, and a tenant lounge with fitness center. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses.

Operating expenses totaled $388,000 or approximately 41.58 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The going-in capitalization rate of 7.50% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 11 per 1,000 square feet, and a tenant lounge with fitness center.

Property Operations

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members.

Weighted average lease term remaining is 10 years and in-place rents average $31 per square foot, full service gross. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 93.2% of billed charges, with bad debt of 6.6% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 21 hours.

Operating Performance

Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 17 per 1,000 square feet, and a tenant lounge with fitness center. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 7.49x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4360 Electricity - Common	4,201	4,480	4,179	4,188	3,986	4,198	4,018	4,440	4,039	3,912	4,201	4,440	50,281
4370 Gas - Common	6,236	6,520	6,722	6,689	6,192	6,731	6,668	6,029	6,030	6,713	6,450	6,113	77,093
4380 Water & Sewer	11,071	10,158	11,148	10,611	11,074	10,135	11,411	10,644	10,546	10,378	10,031	11,050	128,255
4390 Telephone/Internet	12,361	11,546	11,443	11,126	11,668	12,497	12,702	12,438	11,819	11,328	12,132	11,858	142,918
4400 Advertising	7,975	8,251	8,311	7,940	8,495	8,903	8,439	8,535	7,807	8,684	8,353	8,180	99,873
4410 Resident Events	7,628	6,730	7,255	7,588	6,958	6,731	7,493	7,158	6,933	7,233	7,318	6,747	85,772
4420 Office Supplies	7,770	8,258	8,074	8,238	7,690	7,808	8,610	7,577	8,063	7,719	7,757	8,104	95,668
4430 Legal & Professional	14,079	12,982	12,809	14,166	13,849	13,247	12,847	13,103	13,129	14,127	12,708	12,868	159,915
4440 Accounting & Audit	6,153	6,119	6,642	6,273	6,837	6,962	6,843	6,988	6,724	6,878	6,389	6,234	79,043
4450 Licenses & Permits	13,487	13,712	13,810	12,813	14,422	13,554	14,111	13,299	12,914	12,737	13,989	12,569	161,418
4460 Management Fee	1,571	1,697	1,680	1,691	1,671	1,508	1,531	1,621	1,583	1,514	1,528	1,567	19,163
4470 Property Insurance	7,089	7,164	7,626	7,469	7,145	7,525	7,185	7,102	7,907	7,695	6,898	6,979	87,783
4480 Real Estate Taxes	13,266	12,723	13,734	12,452	12,980	12,960	12,507	12,646	13,714	12,785	13,243	12,737	155,746
4490 Asset Management Fee	6,806	6,756	6,782	7,186	7,074	7,690	6,905	7,215	7,256	6,865	7,134	7,032	84,701
4500 Replacement Reserves	10,208	10,509	10,179	9,494	9,448	9,552	9,525	10,517	10,542	9,494	10,155	9,453	119,075
4510 Roof Repairs	6,973	7,156	7,316	7,374	7,287	6,949	6,986	7,470	7,314	7,475	6,790	6,706	85,796
4520 Parking Lot Repairs	6,837	6,849	6,368	6,533	6,583	6,226	6,596	6,575	6,369	6,296	6,264	6,330	77,828
4530 Signage	8,213	7,542	7,504	7,749	7,314	8,120	7,428	7,266	8,147	7,584	7,272	8,026	92,164
4540 Tenant Improvements	14,643	16,156	14,734	15,724	14,876	16,521	16,047	16,231	14,795	15,383	14,952	16,436	186,499
4550 Leasing Commissions	13,524	14,517	14,233	13,480	12,735	13,233	13,804	13,059	13,706	13,172	13,953	13,337	162,751
4000 Gross Potential Rent	132,513	132,078	124,838	124,800	138,218	136,814	128,855	124,826	121,614	128,245	135,009	127,947	1,555,757
4010 Loss to Lease	96,362	101,290	96,628	95,030	104,547	99,613	97,318	102,778	96,086	95,645	95,150	99,228	1,179,676
4020 Vacancy Loss	116,068	120,651	120,705	114,278	117,866	119,345	118,616	119,290	114,766	106,536	113,100	116,220	1,397,441
4030 Concessions	59,161	54,720	52,477	57,632	57,751	52,891	57,716	54,185	52,646	51,941	54,408	55,951	661,480
4040 Bad Debt	101,831	109,139	97,705	103,587	101,952	109,029	105,408	99,358	103,253	100,077	101,779	106,483	1,239,602
4050 Late Fees	41,480	39,369	40,568	40,686	43,929	41,113	42,503	40,269	40,393	40,596	41,874	43,038	495,820
4060 Utility Reimbursements	20,777	20,959	22,160	22,212	20,772	22,672	21,787	20,880	20,706	22,878	22,817	22,830	261,449
4070 Parking Income	110,414	102,208	107,111	112,082	110,848	102,358	103,679	104,776	116,344	113,565	105,040	108,182	1,296,607
4080 Application Fees	99,305	101,526	106,629	98,081	108,747	103,552	98,015	110,671	99,152	104,224	109,930	110,837	1,250,667
4090 Pet Rent	70,175	75,670	77,117	77,586	76,578	78,685	75,490	73,010	80,145	70,118	70,689	77,868	903,131
4100 Laundry Income	92,269	92,058	84,890	88,578	94,317	86,627	83,547	93,891	89,948	94,311	90,526	83,536	1,074,498
4110 Cable/Internet Revenue	82,092	82,789	82,488	85,743	87,752	85,235	79,778	82,091	89,519	87,832	89,112	86,176	1,020,607
4120 CAM Reimbursements	11,238	11,988	11,817	11,312	11,002	11,542	11,475	11,627	11,416	11,393	12,084	12,399	139,294
4130 Tax Reimbursements	55,297	55,055	52,375	50,185	51,986	56,130	55,308	49,369	51,479	53,142	55,414	49,706	635,446
4140 Insurance Reimbursements	39,491	41,148	37,460	38,095	39,033	41,434	36,482	37,843	41,001	38,012	39,162	36,052	465,212
4150 Percentage Rent	49,739	50,492	51,765	51,138	48,455	50,842	50,447	47,400	49,970	53,035	49,496	53,221	606,000
4160 Misc. Income	38,485	36,694	34,847	36,376	35,536	35,598	36,613	36,739	35,648	33,636	37,625	34,656	432,454
4170 Payroll - Management	3,773	3,936	3,856	3,789	3,518	3,984	3,541	4,041	3,980	3,806	3,733	3,778	45,733
4180 Payroll - Leasing	3,047	3,270	3,053	2,919	3,027	2,938	3,155	2,896	3,024	2,895	3,007	3,169	36,399
4190 Payroll - Maintenance	11,515	11,811	11,768	11,610	11,906	12,160	11,535	11,590	11,562	11,349	12,059	12,251	141,115
4200 Payroll Taxes & Benefits	5,717	6,283	5,951	5,584	6,188	6,160	5,642	5,866	6,189	6,287	6,054	5,922	71,842
4210 Repairs - Plumbing	9,398	9,409	9,959	9,289	10,580	10,348	10,548	10,335	9,355	10,402	9,578	10,489	119,691
4220 Repairs - HVAC	10,632	10,404	9,532	10,534	10,776	10,113	9,743	10,327	9,908	10,498	10,394	10,205	123,066
4230 Repairs - Electrical	6,382	6,445	7,162	6,451	6,366	6,864	6,833	6,248	6,949	6,905	6,660	6,637	79,901
4240 Repairs - Appliances	7,108	7,704	7,906	7,419	7,074	7,209	7,596	7,548	7,314	7,684	7,264	7,631	89,458
4250 Painting & Decorating	11,096	10,692	11,712	10,573	10,957	11,770	11,997	10,557	11,064	12,082	12,079	10,701	135,280

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $130,000 or approximately 43.31 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 7.21x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 3 years and in-place rents average $31 per square foot, full service gross. Operating expenses totaled $327,000 or approximately 44.51 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $355,000, representing a 6.0% increase over the prior year.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.0% of billed charges, with bad debt of 7.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 22 hours. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building features a renovated lobby, structured parking at a ratio of 28 per 1,000 square feet, and a tenant lounge with fitness center.

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. The building features a renovated lobby, structured parking at a ratio of 10 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 15th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.0% of billed charges, with bad debt of 5.3% of gross potential income.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Floor plates are efficient and column-spacing supports open and private-office layouts.

Debt service coverage ratio was 6.01x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 8.04% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 18 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 48 hours. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Collections for the period were 89.4% of billed charges, with bad debt of 5.3% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 31 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 27 per 1,000 square feet, and a tenant lounge with fitness center. Debt service coverage ratio was 5.64x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $434,000, representing a 8.9% increase over the prior year. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Effective gross income for the trailing period was $160,000, representing a 13.7% increase over the prior year. Debt service coverage ratio was 5.94x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $45,000 or approximately 19.71 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	10,400	10,248	10,776	10,894	11,063	10,754	11,271	10,746	10,386	10,719	11,143	10,347	128,748
4210 Repairs - Plumbing	12,463	12,078	12,731	11,664	11,550	12,570	12,621	12,071	11,682	12,869	12,269	11,365	145,934
4220 Repairs - HVAC	1,590	1,478	1,529	1,669	1,480	1,612	1,684	1,506	1,612	1,619	1,512	1,647	18,938
4230 Repairs - Electrical	5,245	4,784	4,647	5,108	5,237	5,075	5,051	4,821	5,112	5,213	4,919	4,864	60,076
4240 Repairs - Appliances	13,744	13,388	14,712	14,007	13,370	13,391	13,464	13,513	12,971	13,791	14,607	14,712	165,671
4250 Painting & Decorating	6,129	5,572	5,670	5,613	5,458	5,588	5,591	5,495	5,866	5,728	6,074	6,014	68,798
4260 Flooring	3,430	3,486	3,452	3,395	3,588	3,632	3,733	3,581	3,733	3,376	3,738	3,399	42,544
4270 Make-Ready / Turnover	12,222	12,312	11,372	11,598	12,081	12,071	11,355	11,345	11,618	11,521	11,362	11,918	140,775
4280 Landscaping Contract	8,637	8,250	8,199	8,220	8,106	8,288	7,987	7,973	8,033	8,659	8,636	7,771	98,758
4290 Snow Removal	4,892	4,915	5,004	4,819	4,551	4,606	4,940	4,631	4,608	4,923	4,651	5,050	57,589
4300 Janitorial	14,821	14,959	14,455	14,999	13,965	14,697	14,787	14,001	14,027	13,539	15,053	14,631	173,932
4310 Pest Control	11,740	12,269	11,880	13,322	12,948	13,056	11,712	11,970	12,979	11,920	12,418	11,755	147,971
4320 Trash Removal	13,635	12,962	13,547	13,301	12,632	13,156	12,158	13,375	12,364	13,089	12,301	12,540	155,059
4330 Elevator Contract	12,337	12,212	11,936	11,362	11,561	11,870	12,180	11,354	11,761	11,418	11,096	12,022	141,110
4340 Fire & Life Safety	3,726	3,463	3,671	3,773	3,450	3,905	3,490	3,950	3,586	3,932	3,925	3,688	44,559
4350 Security	3,663	3,740	3,951	3,906	3,619	3,899	3,662	3,533	3,679	3,726	3,841	3,959	45,177
4360 Electricity - Common	12,800	14,406	14,101	12,768	12,682	13,513	12,899	12,804	13,206	14,253	14,412	13,655	161,499
4370 Gas - Common	14,995	13,349	13,551	15,046	13,609	14,341	13,226	14,598	13,279	14,571	14,453	14,400	169,418
4380 Water & Sewer	1,883	1,934	1,886	2,050	1,984	1,960	2,013	1,938	1,884	2,009	1,846	1,944	23,332
4390 Telephone/Internet	8,710	9,284	9,006	9,166	9,815	8,772	9,511	9,572	9,667	8,857	9,497	8,782	110,638
4400 Advertising	6,793	6,583	6,405	6,395	6,184	6,811	6,259	6,830	6,328	6,985	6,282	6,179	78,034
4410 Resident Events	6,218	7,097	6,460	7,093	6,445	6,874	6,911	6,320	6,609	6,674	6,485	6,857	80,044
4420 Office Supplies	5,074	4,525	4,494	4,482	5,052	4,616	5,054	4,838	4,983	5,110	5,023	4,988	58,238
4430 Legal & Professional	8,128	7,407	7,658	7,769	7,754	7,930	7,786	7,256	7,624	7,709	7,831	7,730	92,583
4440 Accounting & Audit	15,393	14,773	15,208	14,480	14,763	15,274	14,919	14,133	13,612	15,454	15,335	14,484	177,829
4450 Licenses & Permits	3,346	3,334	3,216	3,118	2,987	3,331	3,239	3,140	3,110	3,284	3,055	3,089	38,246
4460 Management Fee	2,892	3,116	2,968	3,145	2,926	2,946	3,225	3,231	2,822	3,020	2,946	3,101	36,338
4470 Property Insurance	15,591	14,724	14,499	16,158	16,094	15,758	15,469	14,627	14,645	15,865	14,663	14,857	182,950
4480 Real Estate Taxes	10,204	11,304	11,193	10,861	10,248	11,205	10,905	10,864	11,559	11,005	10,381	10,780	130,508
4490 Asset Management Fee	1,830	1,726	1,818	1,828	1,616	1,645	1,656	1,606	1,639	1,613	1,673	1,733	20,383
4500 Replacement Reserves	10,679	10,376	10,201	10,263	10,182	11,350	10,863	10,731	10,280	10,116	9,950	10,296	125,287
4510 Roof Repairs	1,948	2,061	2,117	1,870	2,056	1,949	2,043	1,959	2,087	1,917	2,067	2,019	24,093
4520 Parking Lot Repairs	5,753	5,853	5,866	5,317	5,427	5,850	5,252	5,196	5,589	5,769	5,621	5,654	67,148
4530 Signage	14,420	14,950	14,611	14,626	15,401	15,707	15,901	14,794	15,287	14,644	15,169	16,162	181,673
4540 Tenant Improvements	8,373	8,827	8,014	8,116	8,812	9,067	8,856	9,182	9,174	9,034	8,736	8,078	104,269
4550 Leasing Commissions	7,275	6,464	6,643	7,184	6,960	6,952	6,793	6,481	7,117	7,005	7,048	6,703	82,625
4000 Gross Potential Rent	126,970	124,254	135,893	133,215	135,008	139,367	129,012	127,306	125,283	125,947	126,653	139,019	1,567,927
4010 Loss to Lease	112,616	116,189	103,834	115,950	116,822	110,331	116,850	106,098	106,807	107,406	103,777	105,961	1,322,639
4020 Vacancy Loss	62,263	63,602	58,528	59,430	63,925	65,186	60,716	65,097	60,674	64,054	65,234	66,108	754,816
4030 Concessions	34,751	31,932	32,389	31,347	32,814	33,024	35,081	31,942	33,052	32,864	32,306	33,808	395,310
4040 Bad Debt	2,536	2,380	2,398	2,260	2,256	2,412	2,384	2,291	2,398	2,373	2,478	2,282	28,447
4050 Late Fees	15,528	15,178	15,225	15,049	15,002	14,994	14,917	14,216	14,266	15,025	14,262	15,531	179,195
4060 Utility Reimbursements	20,152	20,467	20,866	22,629	20,788	20,540	22,636	22,318	21,740	22,844	20,922	21,819	257,722
4070 Parking Income	37,233	35,230	33,961	36,392	37,318	33,943	36,976	34,793	36,206	37,056	36,204	33,336	428,648

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. Management fees are calculated at 3.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $89,000, representing a 7.7% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption.

Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 45 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. The building features a renovated lobby, structured parking at a ratio of 25 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 94.7% of billed charges, with bad debt of 7.7% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. Collections for the period were 92.3% of billed charges, with bad debt of 4.5% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 4 hours.

Valuation Discussion

Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $309,000, representing a 10.6% increase over the prior year. The building features a renovated lobby, structured parking at a ratio of 24 per 1,000 square feet, and a tenant lounge with fitness center.

Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Debt service coverage ratio was 5.13x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The building features a renovated lobby, structured parking at a ratio of 14 per 1,000 square feet, and a tenant lounge with fitness center. Collections for the period were 90.4% of billed charges, with bad debt of 4.4% of gross potential income. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 18th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. The building features a renovated lobby, structured parking at a ratio of 4 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 33 hours.

Operating Performance

Management fees are calculated at 3.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.59% reflects the in-place income and the stabilized occupancy assumption. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross. Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 8.0% over the hold period.

Management fees are calculated at 3.8% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Debt service coverage ratio was 6.84x on a trailing basis against a covenant minimum of 1.20x.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4160 Misc. Income	14,426	12,936	13,044	13,899	13,364	13,151	14,150	14,176	13,017	13,508	14,543	12,949	163,165
4170 Payroll - Management	2,007	2,172	2,075	2,052	2,097	2,192	2,119	2,156	2,188	2,189	2,126	2,081	25,454
4180 Payroll - Leasing	8,892	9,709	8,586	8,901	9,816	9,218	9,737	9,449	8,801	9,809	8,729	8,606	110,253
4190 Payroll - Maintenance	10,365	10,194	9,161	9,474	9,307	9,829	9,267	9,562	10,219	9,441	9,880	9,356	116,055
4200 Payroll Taxes & Benefits	10,440	10,278	9,835	9,629	10,590	11,018	10,332	10,125	10,516	9,786	10,581	10,802	123,932
4210 Repairs - Plumbing	14,955	14,397	14,510	16,054	14,554	15,279	16,151	14,551	16,071	15,975	14,689	16,253	183,438
4220 Repairs - HVAC	3,047	3,022	3,227	3,415	3,397	3,402	3,348	3,335	3,316	3,308	3,002	3,100	38,918
4230 Repairs - Electrical	10,433	10,113	11,008	10,171	10,406	10,405	10,794	10,423	10,229	10,882	10,887	10,848	126,600
4240 Repairs - Appliances	12,995	12,604	13,389	12,077	11,792	13,087	13,061	12,520	12,834	11,865	12,616	12,539	151,379
4250 Painting & Decorating	14,120	14,785	15,608	15,363	15,458	14,546	14,871	15,477	15,142	13,792	15,379	15,456	179,998
4260 Flooring	12,267	11,843	11,897	12,058	11,188	10,868	11,374	12,123	11,267	12,073	10,938	11,924	139,818
4270 Make-Ready / Turnover	9,326	8,207	8,911	8,983	8,801	8,147	8,435	8,862	8,671	8,213	8,659	9,017	104,233
4280 Landscaping Contract	3,896	4,211	3,769	4,233	4,313	4,196	3,881	4,142	3,979	3,993	4,153	3,807	48,572
4290 Snow Removal	16,387	16,337	14,821	16,390	14,879	15,304	15,496	15,946	16,074	14,926	15,880	16,032	188,473
4300 Janitorial	15,259	15,149	14,185	13,433	15,223	14,127	14,348	14,783	15,033	15,063	14,684	15,320	176,607
4310 Pest Control	5,435	5,621	6,067	5,609	5,759	6,107	5,692	5,728	6,118	5,707	5,484	5,478	68,807
4320 Trash Removal	14,435	15,869	16,245	16,112	15,653	14,510	15,246	14,821	15,524	14,976	15,618	15,545	184,555
4330 Elevator Contract	13,769	13,015	14,087	13,168	12,753	13,276	13,828	14,381	13,589	13,020	14,164	13,835	162,884
4340 Fire & Life Safety	8,120	8,418	8,350	8,426	7,538	7,925	8,593	7,709	7,902	8,619	7,689	8,052	97,340
4350 Security	11,709	11,478	11,788	12,866	12,253	11,635	12,698	11,935	12,398	11,577	12,439	12,515	145,291
4360 Electricity - Common	1,475	1,491	1,545	1,581	1,458	1,449	1,524	1,530	1,507	1,477	1,503	1,619	18,160
4370 Gas - Common	10,780	10,338	9,571	9,802	10,381	10,343	9,577	10,849	10,018	10,088	9,755	10,223	121,723
4380 Water & Sewer	2,028	1,984	1,911	2,011	2,076	2,136	1,888	1,960	1,995	1,996	2,080	2,137	24,200
4390 Telephone/Internet	12,358	12,114	11,752	11,015	11,793	11,673	10,980	11,191	12,271	11,172	12,017	11,412	139,747
4400 Advertising	12,118	11,648	12,527	11,731	12,025	11,662	11,889	12,876	11,985	11,803	11,816	12,764	144,844
4410 Resident Events	6,816	6,992	7,229	6,840	6,700	6,498	6,994	6,657	6,579	7,036	6,590	7,429	82,359
4420 Office Supplies	2,202	2,073	2,250	2,172	2,094	2,228	2,101	2,093	2,197	2,197	2,174	2,114	25,895
4430 Legal & Professional	6,878	7,138	6,490	6,505	6,697	6,644	7,022	7,059	6,405	6,536	6,769	6,805	80,949
4440 Accounting & Audit	11,195	10,792	10,573	10,346	11,202	10,661	10,676	10,803	10,285	11,467	10,313	10,417	128,730
4450 Licenses & Permits	1,645	1,630	1,557	1,606	1,628	1,707	1,616	1,687	1,594	1,586	1,681	1,506	19,442
4460 Management Fee	2,932	2,783	2,945	2,842	3,020	2,776	2,928	2,894	2,805	2,861	2,926	3,128	34,839
4470 Property Insurance	9,659	9,321	8,948	8,912	8,829	9,498	9,721	9,836	9,913	9,015	9,164	9,423	112,239
4480 Real Estate Taxes	1,822	1,802	1,862	1,915	1,736	1,798	1,752	1,806	1,833	1,807	1,760	1,834	21,727
4490 Asset Management Fee	3,182	3,438	3,091	3,230	3,077	3,407	3,076	3,416	3,043	3,252	3,049	3,163	38,424
4500 Replacement Reserves	14,742	15,420	16,128	14,474	15,625	15,064	15,783	15,823	15,517	14,826	14,335	15,218	182,955
4510 Roof Repairs	8,369	8,487	8,451	7,734	8,414	7,752	7,763	8,260	8,379	8,100	7,779	8,042	97,530
4520 Parking Lot Repairs	12,085	13,438	13,194	12,175	12,969	12,732	13,470	13,639	13,678	12,233	13,014	12,387	155,013
4530 Signage	8,793	9,508	8,634	9,179	9,076	9,429	8,973	9,079	9,304	9,110	9,606	8,623	109,314
4540 Tenant Improvements	10,930	11,704	12,088	11,678	12,016	12,308	12,360	12,245	12,461	11,774	12,348	12,132	144,044
4550 Leasing Commissions	1,694	1,621	1,746	1,774	1,616	1,677	1,692	1,740	1,670	1,610	1,777	1,624	20,242
4000 Gross Potential Rent	121,591	128,104	124,336	137,865	122,689	122,711	127,118	128,730	124,684	122,474	137,125	130,979	1,528,407
4010 Loss to Lease	41,465	42,522	44,257	45,610	45,295	44,403	41,057	41,127	45,533	45,023	43,932	45,349	525,574
4020 Vacancy Loss	42,543	40,044	43,152	42,292	43,330	41,592	41,427	41,938	44,684	45,445	42,446	43,072	511,966
4030 Concessions	85,617	84,917	84,911	83,787	83,477	84,207	90,819	86,651	83,087	86,506	89,266	79,640	1,022,885
4040 Bad Debt	62,103	64,231	68,793	68,675	63,750	65,971	68,947	62,347	64,466	64,353	62,508	69,846	785,991
4050 Late Fees	73,876	74,910	74,351	73,070	76,531	78,694	78,812	81,198	82,389	82,686	74,508	77,696	928,722

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 16 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 5.71% reflects the in-place income and the stabilized occupancy assumption.

The going-in capitalization rate of 6.97% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 36 per 1,000 square feet, and a tenant lounge with fitness center. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Service requests are tracked through a work-order system with an average completion time of 5 hours. The building features a renovated lobby, structured parking at a ratio of 19 per 1,000 square feet, and a tenant lounge with fitness center. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 92.2% of billed charges, with bad debt of 6.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 3 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 7 years and in-place rents average $31 per square foot, full service gross. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members.

Income and Expense Review

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 6.93% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $69,000 or approximately 21.06 per square foot, with real estate taxes representing the largest line item. Weighted average lease term remaining is 4 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Management fees are calculated at 7.1% of collected revenue and are included in operating expenses.

Management Commentary

The building features a renovated lobby, structured parking at a ratio of 35 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 91.8% of billed charges, with bad debt of 6.3% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 88.7% of billed charges, with bad debt of 3.1% of gross potential income. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members. The building features a renovated lobby, structured parking at a ratio of 40 per 1,000 square feet, and a tenant lounge with fitness center.

Income and Expense Review

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Effective gross income for the trailing period was $183,000, representing a 10.3% increase over the prior year. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross.

Debt service coverage ratio was 6.74x on a trailing basis against a covenant minimum of 1.20x. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross. Effective gross income for the trailing period was $317,000, representing a 4.0% increase over the prior year.

Property Operations

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4520 Parking Lot Repairs	8,411	7,620	7,863	8,473	8,695	7,997	8,339	7,715	7,786	8,008	8,313	7,791	97,013
4530 Signage	15,474	16,092	15,186	15,626	15,922	15,827	15,429	15,511	15,084	15,694	14,224	15,125	185,194
4540 Tenant Improvements	4,368	4,652	4,832	4,252	4,624	4,826	4,699	4,722	4,743	4,396	4,623	4,234	54,971
4550 Leasing Commissions	13,959	14,502	14,280	14,942	14,532	15,382	14,036	13,966	14,953	13,727	14,980	15,382	174,641
4000 Gross Potential Rent	127,907	134,691	122,081	121,312	130,204	123,885	134,392	128,619	129,123	121,753	127,488	137,980	1,539,436
4010 Loss to Lease	29,591	32,225	33,439	31,550	29,781	33,783	30,115	33,034	32,925	33,612	31,187	31,598	382,837
4020 Vacancy Loss	13,467	14,832	14,100	14,102	14,965	13,757	14,195	14,843	14,706	14,463	14,406	14,127	171,964
4030 Concessions	27,202	27,225	28,699	27,708	28,756	29,719	30,636	28,151	28,937	28,892	28,421	27,127	341,473
4040 Bad Debt	15,939	16,076	14,966	15,995	15,189	16,646	15,765	16,656	15,230	16,075	15,286	16,607	190,430
4050 Late Fees	51,656	49,657	52,563	54,573	55,250	51,400	56,481	55,896	50,423	52,290	49,160	55,414	634,762
4060 Utility Reimbursements	102,546	95,844	98,596	98,382	92,601	101,914	100,798	100,995	91,791	92,966	98,449	104,403	1,179,284
4070 Parking Income	36,458	36,115	38,864	34,753	34,198	38,018	35,171	36,779	38,786	37,532	38,441	34,186	439,301
4080 Application Fees	67,867	63,313	62,096	61,609	65,657	63,865	63,781	63,591	63,229	68,474	67,001	66,974	777,456
4090 Pet Rent	40,999	41,862	41,313	39,141	41,710	40,722	39,806	41,998	42,418	41,222	42,088	41,520	494,798
4100 Laundry Income	104,066	95,792	92,440	103,890	94,222	97,860	102,116	102,154	95,823	104,028	91,065	102,452	1,185,909
4110 Cable/Internet Revenue	18,898	19,633	18,628	19,596	20,902	18,854	19,251	19,760	21,286	20,690	20,866	20,563	238,927
4120 CAM Reimbursements	61,797	55,972	55,617	62,862	63,646	60,719	55,888	55,691	60,080	61,844	62,388	59,213	715,716
4130 Tax Reimbursements	104,858	115,910	105,659	108,634	110,377	110,442	107,050	118,641	108,935	104,516	111,487	104,001	1,310,509
4140 Insurance Reimbursements	101,450	108,513	106,279	110,481	97,639	99,593	108,119	111,242	106,659	107,492	109,015	106,774	1,273,256
4150 Percentage Rent	46,510	48,583	42,717	45,768	44,133	46,404	43,181	48,482	45,730	47,872	44,191	46,846	550,418
4160 Misc. Income	22,867	22,517	23,284	23,814	23,305	22,927	22,483	22,450	24,550	24,678	23,616	22,485	278,977
4170 Payroll - Management	8,910	8,885	8,705	8,738	8,891	8,702	7,859	8,251	8,302	8,800	8,789	8,718	103,551
4180 Payroll - Leasing	2,086	1,936	1,956	1,969	2,075	1,918	2,157	2,052	2,013	2,023	1,931	2,089	24,205
4190 Payroll - Maintenance	14,251	14,466	13,480	14,230	14,474	14,310	14,251	13,695	14,853	13,745	15,021	13,352	170,127
4200 Payroll Taxes & Benefits	3,436	3,665	3,483	3,492	3,701	3,386	3,632	3,621	3,811	3,764	3,351	3,667	43,009
4210 Repairs - Plumbing	14,371	14,281	13,087	13,952	12,762	12,938	14,336	14,570	13,787	12,844	13,705	13,187	163,819
4220 Repairs - HVAC	13,942	15,165	15,482	14,088	13,764	15,290	14,273	13,808	15,159	14,101	15,453	14,688	175,212
4230 Repairs - Electrical	14,477	14,426	14,959	15,078	15,069	14,808	13,806	14,847	13,629	15,196	15,057	15,394	176,748
4240 Repairs - Appliances	9,655	9,701	9,305	9,374	10,032	9,800	10,230	9,718	10,252	9,712	9,543	10,211	117,534
4250 Painting & Decorating	10,172	9,303	10,252	9,172	10,253	9,671	9,680	9,374	10,399	9,626	9,377	10,242	117,521
4260 Flooring	13,686	12,413	13,065	13,824	13,334	12,542	12,896	14,011	12,893	13,743	12,423	13,839	158,669
4270 Make-Ready / Turnover	7,373	7,086	7,650	7,623	6,730	7,677	7,142	7,185	6,827	7,550	7,262	7,187	87,290
4280 Landscaping Contract	14,031	15,537	14,790	14,448	15,096	15,069	15,191	14,531	14,566	13,573	14,417	14,084	175,334
4290 Snow Removal	7,775	7,101	7,657	6,956	7,010	6,968	7,061	7,126	7,816	7,069	6,970	7,003	86,511
4300 Janitorial	5,790	5,751	5,988	5,306	5,876	5,916	5,828	5,995	5,558	5,425	5,865	5,646	68,945
4310 Pest Control	12,190	11,975	11,546	10,907	11,385	12,323	11,265	11,033	11,602	11,828	11,832	12,056	139,943
4320 Trash Removal	2,431	2,696	2,638	2,749	2,465	2,551	2,732	2,509	2,597	2,774	2,563	2,773	31,480
4330 Elevator Contract	9,059	8,968	9,412	8,694	9,434	8,817	9,519	9,008	9,376	8,941	9,221	9,383	109,833
4340 Fire & Life Safety	8,458	8,682	8,421	9,169	9,078	8,771	9,363	8,470	9,099	9,145	9,424	8,899	106,979
4350 Security	2,058	2,012	2,082	1,982	1,966	1,852	2,078	2,085	2,061	1,949	1,995	1,836	23,957
4360 Electricity - Common	10,930	10,758	10,794	10,985	11,573	10,632	11,438	11,410	11,532	11,554	11,710	11,556	134,872
4370 Gas - Common	11,471	11,160	12,150	10,958	11,621	12,252	12,124	12,191	11,616	12,216	11,428	12,041	141,228
4380 Water & Sewer	10,816	11,019	10,236	11,140	10,425	10,680	11,264	10,383	10,864	10,032	11,060	10,424	128,344
4390 Telephone/Internet	12,933	13,177	12,503	13,892	14,245	12,792	13,629	14,332	13,294	14,280	14,332	13,027	162,436

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Debt service coverage ratio was 7.43x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.83% reflects the in-place income and the stabilized occupancy assumption. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $433,000, representing a 8.6% increase over the prior year. Operating expenses totaled $211,000 or approximately 46.97 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 8.0% of collected revenue and are included in operating expenses. Debt service coverage ratio was 6.19x on a trailing basis against a covenant minimum of 1.20x. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross.

Leasing and Marketing

The building features a renovated lobby, structured parking at a ratio of 5 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Collections for the period were 90.8% of billed charges, with bad debt of 4.2% of gross potential income.

The building features a renovated lobby, structured parking at a ratio of 15 per 1,000 square feet, and a tenant lounge with fitness center. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Weighted average lease term remaining is 5 years and in-place rents average $31 per square foot, full service gross. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 91.6% of billed charges, with bad debt of 5.2% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members.

Income and Expense Review

Floor plates are efficient and column-spacing supports open and private-office layouts. Operating expenses totaled $249,000 or approximately 32.15 per square foot, with real estate taxes representing the largest line item. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross.

Effective gross income for the trailing period was $190,000, representing a 7.1% increase over the prior year. The going-in capitalization rate of 7.44% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.7% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 43 additional team members. Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Collections for the period were 94.2% of billed charges, with bad debt of 6.3% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 46 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

Management fees are calculated at 5.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $462,000, representing a 2.5% increase over the prior year. Floor plates are efficient and column-spacing supports open and private-office layouts. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period. The going-in capitalization rate of 5.02% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $289,000 or approximately 18.11 per square foot, with real estate taxes representing the largest line item.

Operating expenses totaled $200,000 or approximately 40.80 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 7.05x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $333,000, representing a 7.6% increase over the prior year. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4020 Vacancy Loss	95,725	87,376	92,957	93,884	95,314	94,708	86,193	88,401	91,869	87,321	87,442	94,916	1,096,104
4030 Concessions	115,156	102,610	109,987	107,018	107,537	107,148	112,486	106,053	112,132	107,287	110,996	113,077	1,311,486
4040 Bad Debt	12,300	11,979	11,849	12,976	12,757	12,424	13,136	12,196	13,068	11,980	12,206	12,650	149,521
4050 Late Fees	16,671	16,921	16,888	15,349	15,196	16,648	16,272	16,893	15,566	16,697	17,032	15,858	195,992
4060 Utility Reimbursements	96,971	87,998	96,984	93,594	97,628	93,013	88,135	87,697	86,869	90,023	90,336	93,220	1,102,467
4070 Parking Income	90,605	89,992	90,925	81,494	88,199	89,565	88,771	86,689	92,214	88,901	83,210	89,685	1,060,250
4080 Application Fees	106,991	99,788	108,050	97,023	100,200	104,100	96,301	98,019	99,174	104,971	107,758	106,994	1,229,368
4090 Pet Rent	42,979	38,298	41,650	40,167	39,736	43,115	40,769	43,670	43,818	41,229	40,030	40,673	496,134
4100 Laundry Income	33,586	32,111	33,341	31,386	30,440	32,382	34,006	33,059	32,227	33,243	32,227	32,188	390,196
4110 Cable/Internet Revenue	27,992	29,976	30,455	30,135	27,381	26,874	27,338	30,111	30,124	29,183	27,646	30,039	347,254
4120 CAM Reimbursements	86,537	86,241	91,595	86,800	91,498	84,059	88,972	84,601	90,364	92,503	92,660	87,523	1,063,352
4130 Tax Reimbursements	103,129	105,773	104,135	101,284	106,270	114,716	102,933	107,352	114,199	111,557	105,357	105,135	1,281,839
4140 Insurance Reimbursements	62,257	61,819	63,616	60,163	62,556	60,068	65,135	64,228	58,844	59,290	61,241	62,969	742,186
4150 Percentage Rent	69,614	68,216	67,688	66,073	71,292	66,293	69,783	66,302	67,921	65,103	71,604	69,287	819,175
4160 Misc. Income	78,294	76,219	80,418	74,414	82,763	77,231	77,157	77,524	83,551	80,384	74,720	74,645	937,321
4170 Payroll - Management	10,407	10,032	9,531	9,400	10,042	9,815	9,387	9,656	10,371	10,194	9,426	9,744	118,005
4180 Payroll - Leasing	4,951	5,443	5,310	5,251	5,289	5,339	5,161	5,008	5,418	5,434	4,850	5,063	62,518
4190 Payroll - Maintenance	11,018	11,579	11,625	11,657	11,479	11,972	11,685	12,524	12,556	11,270	12,236	11,557	141,157
4200 Payroll Taxes & Benefits	11,483	12,139	12,278	11,838	12,212	11,873	11,336	12,154	11,903	11,858	10,955	11,615	141,644
4210 Repairs - Plumbing	7,813	7,976	7,257	7,858	7,420	7,551	7,159	7,850	7,289	7,821	7,598	8,095	91,686
4220 Repairs - HVAC	1,498	1,417	1,426	1,453	1,398	1,603	1,495	1,469	1,559	1,530	1,514	1,506	17,867
4230 Repairs - Electrical	2,237	2,134	2,115	2,150	2,100	2,366	2,192	2,229	2,219	2,169	2,136	2,230	26,276
4240 Repairs - Appliances	8,708	8,852	8,186	8,905	8,583	8,655	8,671	8,311	8,084	8,931	8,578	7,942	102,404
4250 Painting & Decorating	7,636	7,423	7,562	7,271	7,561	7,569	7,187	7,517	7,903	7,147	7,437	7,059	89,273
4260 Flooring	11,940	12,027	10,857	11,668	11,238	11,253	11,013	12,086	12,000	11,205	11,104	10,667	137,056
4270 Make-Ready / Turnover	11,185	11,750	12,093	11,752	12,023	11,373	11,619	11,092	12,167	12,357	12,420	12,373	142,205
4280 Landscaping Contract	5,902	6,016	5,774	5,831	6,158	5,562	5,962	5,978	5,799	6,083	6,143	6,293	71,500
4290 Snow Removal	4,938	4,633	4,346	4,703	4,897	4,752	4,501	4,563	4,495	4,467	4,370	4,545	55,209
4300 Janitorial	5,802	5,838	6,272	6,415	5,944	6,058	6,224	5,779	5,991	6,458	5,744	5,974	72,498
4310 Pest Control	6,098	6,246	6,706	6,425	6,443	6,676	6,487	6,453	6,711	6,596	6,431	6,764	78,036
4320 Trash Removal	2,780	2,633	2,697	2,737	2,620	2,529	2,547	2,862	2,839	2,565	2,753	2,721	32,282
4330 Elevator Contract	12,839	12,218	12,473	12,410	13,381	12,344	11,920	12,398	12,453	13,219	12,880	13,226	151,760
4340 Fire & Life Safety	12,977	12,248	12,163	12,382	11,970	13,269	12,552	12,261	12,364	12,068	12,097	12,809	149,160
4350 Security	13,992	13,873	14,669	13,882	13,602	13,127	14,065	14,654	14,139	13,847	13,799	14,320	167,969
4360 Electricity - Common	4,266	4,564	4,390	4,133	4,009	4,084	4,181	4,496	4,006	4,026	4,350	4,067	50,571
4370 Gas - Common	13,789	13,972	12,695	14,149	14,154	13,301	13,055	14,162	12,956	13,749	13,532	12,984	162,497
4380 Water & Sewer	4,119	3,600	4,010	3,733	3,879	4,047	3,894	3,973	3,635	3,793	4,015	3,918	46,615
4390 Telephone/Internet	8,246	7,798	8,576	8,771	8,315	8,247	8,581	8,035	8,297	8,143	8,798	8,814	100,619
4400 Advertising	12,214	11,628	11,652	11,459	12,008	11,880	11,351	11,657	11,948	11,543	12,044	12,172	141,557
4410 Resident Events	13,818	13,720	13,538	13,516	13,196	14,573	14,506	13,240	13,071	14,432	14,282	13,486	165,379
4420 Office Supplies	2,453	2,349	2,559	2,616	2,557	2,599	2,500	2,410	2,658	2,466	2,520	2,379	30,066
4430 Legal & Professional	13,012	13,037	12,598	13,722	14,167	14,120	13,895	14,356	12,680	12,688	13,044	12,915	160,234
4440 Accounting & Audit	9,596	10,291	9,460	9,758	9,472	9,918	9,306	9,738	10,010	9,838	9,471	10,348	117,206
4450 Licenses & Permits	9,153	9,207	8,909	8,833	9,441	8,910	9,686	9,259	9,103	9,361	9,446	9,534	110,844
4460 Management Fee	11,282	11,197	10,354	11,193	10,442	11,387	10,294	10,981	11,522	10,161	11,078	10,152	130,043
4470 Property Insurance	4,026	4,404	4,197	4,035	3,941	3,912	4,202	4,274	4,076	4,129	4,203	3,890	49,290
4480 Real Estate Taxes	3,397	3,541	3,558	3,440	3,194	3,386	3,156	3,372	3,346	3,349	3,627	3,306	40,672

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Operating Performance

Effective gross income for the trailing period was $328,000, representing a 13.4% increase over the prior year. The going-in capitalization rate of 5.64% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts. Debt service coverage ratio was 7.66x on a trailing basis against a covenant minimum of 1.20x. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center.

Effective gross income for the trailing period was $365,000, representing a 7.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Operating expenses totaled $241,000 or approximately 33.54 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Collections for the period were 95.6% of billed charges, with bad debt of 4.5% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. Service requests are tracked through a work-order system with an average completion time of 16 hours. Floor plates are efficient and column-spacing supports open and private-office layouts.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 47 hours. Collections for the period were 94.5% of billed charges, with bad debt of 5.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day.

Income and Expense Review

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 5.26% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $148,000 or approximately 38.31 per square foot, with real estate taxes representing the largest line item. Floor plates are efficient and column-spacing supports open and private-office layouts.

Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. Management fees are calculated at 6.7% of collected revenue and are included in operating expenses. The building features a renovated lobby, structured parking at a ratio of 12 per 1,000 square feet, and a tenant lounge with fitness center. The going-in capitalization rate of 5.63% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.50x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $225,000 or approximately 9.33 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Floor plates are efficient and column-spacing supports open and private-office layouts. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.6% of billed charges, with bad debt of 4.4% of gross potential income.

Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 16 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Financial Analysis

The going-in capitalization rate of 6.80% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Floor plates are efficient and column-spacing supports open and private-office layouts. Weighted average lease term remaining is 8 years and in-place rents average $31 per square foot, full service gross. Operating expenses totaled $429,000 or approximately 45.72 per square foot, with real estate taxes representing the largest line item.

The going-in capitalization rate of 7.06% reflects the in-place income and the stabilized occupancy assumption. The building features a renovated lobby, structured parking at a ratio of 42 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Effective gross income for the trailing period was $190,000, representing a 3.1% increase over the prior year. Debt service coverage ratio was 7.11x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4420 Office Supplies	6,526	6,752	6,427	6,714	6,989	6,422	6,438	6,952	6,996	6,286	6,437	6,501	79,441
4430 Legal & Professional	3,296	3,148	3,431	3,355	3,249	3,488	3,158	3,394	3,168	3,267	3,467	3,359	39,780
4440 Accounting & Audit	15,212	15,953	14,224	14,439	15,557	15,389	14,058	14,930	14,101	15,450	15,864	15,623	180,799
4450 Licenses & Permits	10,497	11,118	11,204	9,897	10,769	10,836	10,380	9,919	10,804	10,383	10,185	10,862	126,854
4460 Management Fee	1,263	1,299	1,383	1,442	1,299	1,332	1,374	1,379	1,332	1,349	1,382	1,409	16,242
4470 Property Insurance	12,122	11,862	12,808	11,983	12,728	11,949	11,670	11,812	11,994	12,122	12,676	12,890	146,614
4480 Real Estate Taxes	3,980	4,453	4,195	4,293	3,952	3,947	4,460	4,358	4,103	4,229	4,229	4,515	50,715
4490 Asset Management Fee	7,540	7,882	7,634	7,988	8,254	8,041	7,313	7,855	7,521	8,132	8,079	8,196	94,437
4500 Replacement Reserves	7,490	7,792	7,731	7,416	7,580	7,201	7,726	7,527	7,871	7,972	7,252	7,132	90,689
4510 Roof Repairs	2,333	2,432	2,330	2,202	2,431	2,463	2,267	2,478	2,294	2,205	2,196	2,235	27,864
4520 Parking Lot Repairs	8,510	8,773	8,532	8,354	8,812	9,111	8,592	9,051	8,952	8,331	8,443	8,172	103,633
4530 Signage	8,292	7,502	8,404	7,415	7,624	7,455	7,722	8,264	7,541	7,853	8,143	8,253	94,468
4540 Tenant Improvements	6,003	6,504	6,249	6,354	6,763	6,037	6,034	6,248	6,893	6,696	6,468	6,527	76,775
4550 Leasing Commissions	5,672	6,040	5,916	5,416	5,795	5,674	6,099	5,746	5,342	5,951	6,055	5,434	69,140
4000 Gross Potential Rent	130,741	132,658	136,545	135,234	137,319	136,624	132,589	127,338	126,769	133,250	124,135	137,632	1,590,835
4010 Loss to Lease	115,732	120,071	122,156	114,244	120,997	113,508	117,229	115,613	109,250	112,572	109,400	115,886	1,386,657
4020 Vacancy Loss	18,623	20,546	19,865	18,877	19,123	21,113	18,726	20,171	20,661	19,783	18,585	19,652	235,725
4030 Concessions	31,381	30,014	29,640	32,205	31,163	31,332	32,148	32,257	31,783	31,385	32,168	33,342	378,816
4040 Bad Debt	109,958	107,737	109,071	108,331	111,471	105,717	108,903	116,072	101,366	108,425	109,807	102,389	1,299,248
4050 Late Fees	73,423	77,575	77,677	76,603	81,102	75,578	79,255	80,633	76,032	77,840	77,551	79,276	932,547
4060 Utility Reimbursements	60,096	60,318	61,678	63,044	56,092	62,735	59,406	56,630	55,928	58,049	62,601	56,396	712,972
4070 Parking Income	60,252	66,768	60,543	61,166	59,957	66,987	65,282	68,195	63,281	61,079	66,648	59,295	759,453
4080 Application Fees	108,873	122,404	119,479	108,611	121,969	115,513	113,938	115,459	124,754	122,779	114,102	109,106	1,396,986
4090 Pet Rent	65,095	67,418	68,714	64,321	65,160	63,435	67,902	70,926	65,731	62,822	63,226	64,038	788,788
4100 Laundry Income	116,755	105,967	103,994	108,739	116,257	112,223	113,366	112,598	102,588	106,402	108,104	112,661	1,319,653
4110 Cable/Internet Revenue	43,086	41,681	44,995	45,228	45,503	43,905	42,130	45,727	41,804	44,340	40,483	40,597	519,480
4120 CAM Reimbursements	97,655	104,837	98,339	104,001	106,505	106,201	100,578	99,284	98,774	104,788	94,785	95,558	1,211,304
4130 Tax Reimbursements	8,404	7,728	8,449	8,310	7,967	7,715	7,944	8,426	7,871	8,280	7,910	8,168	97,172
4140 Insurance Reimbursements	30,227	30,526	29,415	27,745	28,646	27,733	27,196	30,192	29,397	29,141	28,156	29,314	347,689
4150 Percentage Rent	105,637	102,820	103,761	105,936	101,569	98,040	103,761	100,518	105,540	102,712	99,908	98,987	1,229,189
4160 Misc. Income	67,371	72,680	71,551	71,362	70,427	67,589	71,455	65,012	70,834	66,512	69,590	72,256	836,640
4170 Payroll - Management	10,998	11,971	11,082	11,996	11,985	11,231	12,048	11,809	12,078	10,784	11,550	10,806	138,336
4180 Payroll - Leasing	3,258	3,328	3,150	3,053	3,379	3,194	3,331	3,108	3,124	3,152	3,305	3,189	38,574
4190 Payroll - Maintenance	15,692	14,603	14,901	15,119	15,394	13,955	13,763	15,256	14,316	14,612	14,046	14,697	176,354
4200 Payroll Taxes & Benefits	13,154	14,213	14,184	14,272	13,464	12,826	12,776	13,393	13,637	12,815	12,691	13,156	160,581
4210 Repairs - Plumbing	6,685	7,054	7,110	7,250	7,367	7,183	6,840	6,689	6,571	6,871	6,643	6,697	82,960
4220 Repairs - HVAC	4,036	3,786	4,235	4,208	3,732	4,247	3,926	3,967	3,912	4,150	4,043	4,249	48,492
4230 Repairs - Electrical	5,820	5,750	5,880	5,644	5,643	5,513	5,449	5,424	5,652	6,068	5,951	6,181	68,976
4240 Repairs - Appliances	13,865	13,107	13,416	14,099	13,228	13,657	13,414	12,985	13,719	13,879	14,263	14,623	164,254
4250 Painting & Decorating	11,006	10,967	10,020	10,461	9,957	9,861	10,332	10,017	10,695	10,854	9,675	10,264	124,109
4260 Flooring	13,393	12,040	11,975	12,972	13,024	12,207	12,488	12,121	12,154	13,313	12,699	12,555	150,940
4270 Make-Ready / Turnover	7,060	6,879	6,879	6,885	7,003	6,630	7,199	6,778	6,694	6,944	7,079	6,824	82,855
4280 Landscaping Contract	14,847	14,656	15,145	14,147	14,752	15,148	13,768	15,276	14,182	13,954	14,084	14,669	174,627
4290 Snow Removal	3,276	3,610	3,564	3,249	3,419	3,617	3,693	3,415	3,688	3,288	3,673	3,448	41,941
4300 Janitorial	1,936	2,026	2,142	2,121	2,185	2,044	2,141	2,209	2,075	2,109	2,080	2,195	25,261
4310 Pest Control	5,547	5,013	5,104	5,415	5,606	5,045	4,885	5,171	5,127	4,979	5,142	5,248	62,282

Report generated 10/28/2021. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Financial Analysis

Weighted average lease term remaining is 12 years and in-place rents average $31 per square foot, full service gross. The going-in capitalization rate of 8.03% reflects the in-place income and the stabilized occupancy assumption. Floor plates are efficient and column-spacing supports open and private-office layouts. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. Floor plates are efficient and column-spacing supports open and private-office layouts. The going-in capitalization rate of 7.13% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Property Operations

Collections for the period were 91.3% of billed charges, with bad debt of 5.0% of gross potential income. Weighted average lease term remaining is 9 years and in-place rents average $31 per square foot, full service gross. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building features a renovated lobby, structured parking at a ratio of 26 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Collections for the period were 92.4% of billed charges, with bad debt of 4.5% of gross potential income.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only